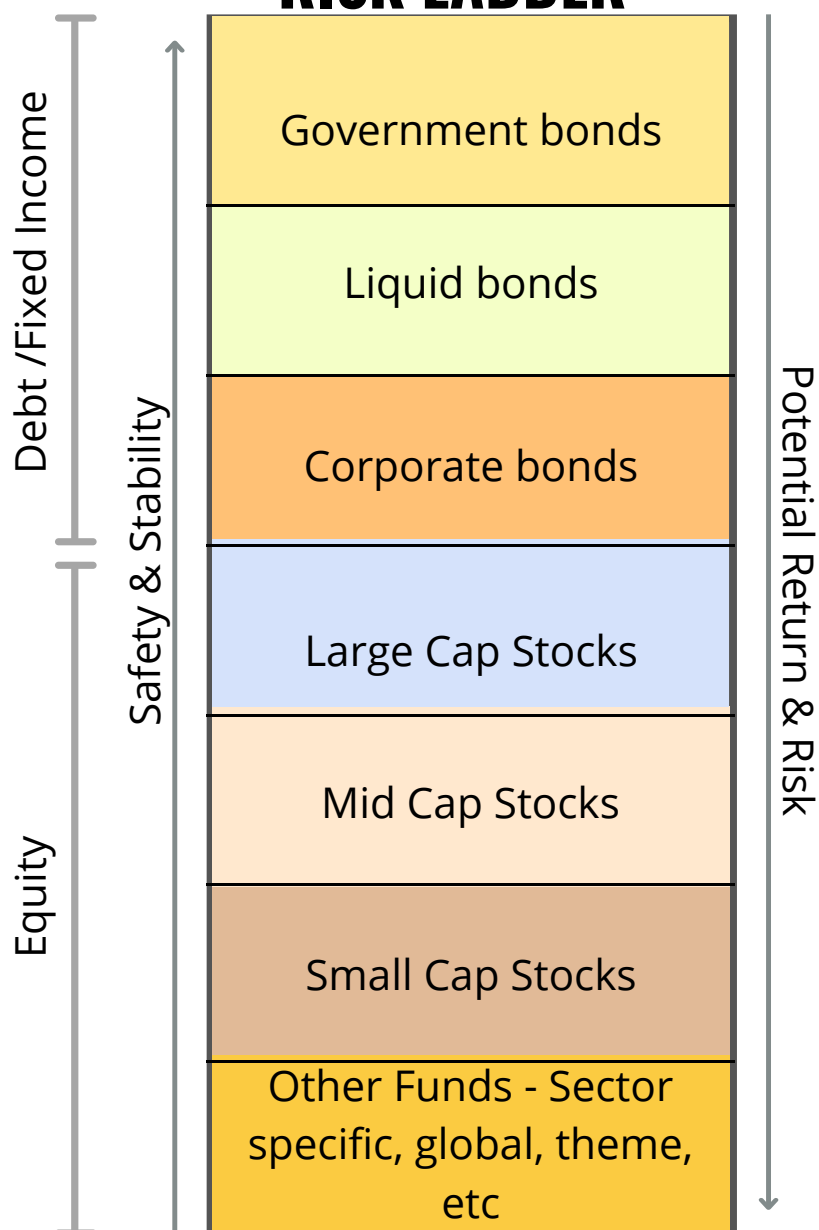


RISK LADDER



We just saw the adequate category wise distribution of the equity component based on Risk Taking Ability. However, it often happens that when the amount to be invested on a per month basis is small, categorizing it in the above categories becomes really cumbersome. Also, often people want have low risk taking willingness. They are not comfortable with higher risks as discussed. In all these cases, one can move up the risk ladder and select assets that are above what is ideal based on risk taking ability. so, if someone needs 50% mid cap and 50% large cap, they can move up the ladder and have 100% in large caps.

They can even move up to debt part. We will understand debt categories very shortly. The key is always to move up the ladder. Never will we move lower in the ladder. The objective for this movement can be lower risk taking willingness or simplification of allocation as mentioned. However, we will avoid moving too many steps up on the ladder. It leads to inefficiency and lower potential returns for no reason. We will try to limit the movement to one step in general.